BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of: Arizona Golden Leaf Wellness, LLC	)	Docket No.: 2024-MMR-T0160-DHS NOTICE OF INTENT TO REVOKE MARIJUANA ESTABLISHMENT LICENSE AND NOTICE OF RIGHT TO REQUEST ADMINISTRATIVE HEARING

I. JURISDICTION

The Arizona Department of Health Services ("Department") is charged by Arizona Revised Statutes ("A.R.S.") § 36-132(A)(1) with the power and duty to enforce the body of laws that protect the health of the people of the State of Arizona. In addition, A.R.S. § 36-136(G) authorizes the Director of the Department ("Director") to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Smart and Safe Arizona Act ("SASAA"), A.R.S. § 36-2850 *et seq*., was passed in November 2020 and became effective in December 2020. Rules adopted by the Department to implement the SASAA, Arizona Administrative Code ("A.A.C") R9-18-101 *et seq*., became effective January 15, 2021, as thereafter amended ("Rules"). *See* A.R.S. § 36-2854 (giving the Department rulemaking authority under the SASAA).

Under A.R.S. § 36-2854(B)(3), the Department may "[a]t any time during regular hours of operation, visit and inspect a marijuana establishment, marijuana testing facility or dual licensee to determine if it complies with this chapter and rules adopted pursuant to this chapter. The [D]epartment shall make at least one unannounced visit annually to each facility licensed pursuant to this chapter."

The Department is authorized to revoke a marijuana establishment license if the marijuana establishment violates the SASAA or the Rules. A.R.S. § 36-2854(B)(1)(a); A.A.C. R9-18-316(C)(3).

II. MARIJUANA ESTABLISHMENT LICENSE HISTORY

Arizona Golden Leaf Wellness, LLC ("Arizona Golden Leaf") applied for and was awarded a marijuana establishment license (No. 00000067ESBS89254298), effective August 8, 2022 ("License") for a Marijuana Establishment located at 5390 W. Ina Rd, Marana, AZ 85743 ("Establishment"). The License has a current expiration date of August 7, 2024.

III. REASONS FOR THE DEPARTMENT'S INTENT TO REVOKE THE MARIJUANA ESTABLISHMENT LICENSE

On February 1, 2024, the Department conducted a complaint inspection at the Offsite Establishment Cultivation site located at 2380 East Medina Road, Tucson, AZ 85756. During the inspection, Department Compliance Officers ("Compliance Officers") observed violations of SASAA and the Rules, which were noted in a Statement of Deficiencies dated February 6, 2024 ("February 2024 SOD") and subsequently provided to Arizona Golden Leaf Wellness, LLC. The February 2024 SOD is attached hereto as Exhibit A and incorporated by reference. Compliance Officers observed the following violations.

A. Violations of A.A.C. R9-18-308(A)(11)

In violation of A.A.C. R9-18-308(A)(11), the Establishment failed to document and report any loss or theft of marijuana or a marijuana product from the marijuana establishment's retail site, cultivation site, or manufacturing site to the appropriate law enforcement agency. Compliance Officers reviewed complaint "00068389" filed on January 30, 2024, which reported, "[s]omeone is using our Cultivation License and purchasing flower, giving bad distillate in lieu of payment. There is a total of four transactions that I am aware of, all though [*sic*] there could be more." The alleged incident took place on November 18, 2023.

In an interview conducted on January 31, 2024 via Google Meet, Facility Agent ("FA") 5 and FA4 acknowledged that bulk marijuana products were provided to Unauthorized Persons ("UAP") 1 and UAP3 under a "14 Day Terms" contract. Reportedly, the deal took place at or around the end of November and/or the beginning of December. FA5 reported that FA5 contacted FA6 to obtain payment after only receiving partial payment on January 2, 2024 in the form of distillate. At that time, FA5 was made aware that the deal was not valid and that there was no

known licensed professional relationship between UAP1, UAP2, UAP3, and the Establishment.

In an interview conducted during the onsite investigation on February 1, 2024, the Compliance Officers asked if the police had been alerted about the incident. FA5 reported that a police report had not been made, but that FA5 will report the incident to the police.

B. Violation of A.A.C. R9-18-312(D)(1)(d)

In violation of A.A.C. R9-18-312(D)(1)(d), the Establishment failed to ensure that before transportation, a marijuana facility agent of a marijuana establishment shall complete a trip plan that includes any anticipated stops during the trip, including the locations of the stops and estimated arrival time and departure time for each location.

A review of a trip plan dated January 12, 2024 showed that the Establishment cultivation site did not annotate the correct anticipated route time. The trip plan's anticipated time was recorded as 7:00 p.m. to 8:00 p.m., which was missing three hours from the actual anticipated route time. Similarly, a trip plan dated November 24, 2023 did not contain the anticipated route.

In an interview, FA3 stated that the Establishment had not noticed the missing route time and route.

C. Violation of A.A.C. R9-18-312(I)(2)

In violation of A.A.C. R9-18-312(I)(2), the Establishment failed to prevent unauthorized access to marijuana or marijuana products at the marijuana establishment's cultivation site.

A review of the Establishment's policy for "Visitor Access Control," which was last revised May 16, 2023, revealed the following procedures: "B. If they do not present a valid and current form of identification, turn them away," and "H. Scan the visitor's ID, if applicable." Additionally, in order to enter the Establishment, a person has to be buzzed into the gated parking lot and then also buzzed into the building. Compliance Officers reviewed the "AZ Golden Leaf Wellness Cultivation Visitor Log" dated January 10, 2024, which showed that UAP1 and UAP2 were at the location from 9:00 a.m. to 10:10 a.m. for a company that was illegibly listed as potentially "Hozho" or "Hoz10." In an interview, FA1 and FA2 both confirmed that UAP1 received a cannabis product on January 12, 2024 from the location. In another interview, FA5 confirmed

that UAP2 paid a portion of the bill for the cannabis purchase on January 2, 2024 with liters of cannabis distillate.

However, a review of the Bureau of Marijuana Licensing system records revealed the following: UAP1's FA card had expired on December 1, 2023; UAP2's FA card was not linked to a licensed marijuana entity and the FA card used by UAP2 was a fake card; and UAP3's FA card was not linked to a licensed marijuana entity. In addition, UAP2's FA card had a picture of a person wearing a hat, which would violate A.A.C. R9-18-101(12)(d).

When asked why the documented policies and procedures were not adhered to in this situation, FA2 reported that FA2 was instructed to allow UAP2 on site. Compliance Officers reviewed security video footage from January 12, 2024 that showed FA2 at the cultivation cite, reportedly acquiring bulk cannabis products.

D. Violations of A.A.C. R9-18-314(B)

In violation of A.A.C. R9-18-314(B), the Establishment failed to only acquire marijuana from the marijuana establishment's cultivation site or manufacturing site, another marijuana establishment or another marijuana establishment's cultivation site, or a dispensary with a dispensary registration certificate issued under 9 A.A.C. 17.

A review of the Establishment's "Arizona Medical Marijuana Transportation Manifest" dated January 2, 2024 showed that "30,000G" was delivered to Arizona Golden Leaf Wellness, LLC on January 2, 2024 at 3:00 p.m. The product was delivered by UAP2. FA5 confirmed that UAP2 paid a portion of the bill for the bulk marijuana purchase with liters of distillate. FA5 also reported that the distillate was accepted as a form of payment as a result of the failures to pay pursuant to the "14 Day Terms" contract. Compliance Officers observed two large yellow and black plastic tote bins containing the distillate reportedly used for payment by UAP2. The bins were quarantined in the area identified as the 3rd party vendor location, but the area was unlocked.

A review of the policy "Acquiring Marijuana," which was last revised March 8, 2023, stated on page 1: "...All Incoming shipments will be inspected for quality, freshness, accuracy, testing, and compliance with Arizona marijuana rules and statutes."

IV. FINDINGS, NOTICES, AND INSTRUCTIONS TO REQUEST A HEARING

YOU ARE HEREBY NOTIFIED that based on the foregoing, and the Establishment SOD, and pursuant to A.R.S. § 36-2854(B)(1)(a) and A.A.C. R9-18-316(C)(3), the Department intends to revoke Arizona Golden Leaf's License (No. 00000067ESBS89254298) for failure to comply with SASAA and the Rules as set forth herein.

YOU ARE ADVISED that you have the right to request a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review this Notice of Intent to Revoke Marijuana Establishment License ("Notice"). A.R.S. § 41-1092.03(B). You may request a hearing by submitting a written request to the Clerk of the Department, Arizona Department of Health Services, **within thirty (30) calendar days** after this Notice is received. If you submit a timely request for a hearing, you will be given an opportunity at the hearing to respond to this Notice and to present evidence and argument on all relevant issues. A.R.S. § 41-1092.07(D). You have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07(B).

IF YOU TIMELY REQUEST A HEARING, YOU ALSO MAY REQUEST that the Department hold an informal settlement conference by submitting a written request to the Department **no later than twenty (20) calendar days** before the hearing scheduled in the matter. *See* A.R.S. § 41-1092.06(A). Such request shall be sent to Kim Crawford, Bureau Chief, Bureau of Marijuana Licensing, Arizona Department of Health Services, 150 N. 18th Ave., Suite 330, Phoenix, Arizona 85007.

IF YOU DO NOT TIMELY REQUEST A HEARING, the Department's revocation of Arizona Golden Leaf's License (No. 00000067ESBS89254298) **will be automatically effective immediately upon the expiration of the thirty (30) day period following receipt of this Notice,** and the Department's revocation of Arizona Golden Leaf will not be subject to judicial review. A.R.S. §§ 12-902(B), 41-1092.08(H).

DATED this 24th day of April, 2024.

ARIZONA DEPARTMENT OF HEALTH SERVICES

McKenna Baker
Director's Designee

ORIGINAL filed this 24th day of April, 2024, with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste 200
Phoenix, AZ 85007

COPY of the foregoing mailed certified mail,
return receipt requested this 24th day of April, 2024, to:

Reena Patel, Owner
Pradipkumar Patel, Owner
Arizona Golden Leaf Wellness, LLC
3275 West Ina Road
Tucson, AZ 85741

MPBG Service LLC
Attention: Taylor Gustafson
Statutory Agent, Arizona Golden Leaf Wellness, LLC
1850 N. Central Avenue, Suite 1600
Phoenix, Arizona 85004

COPIES of the foregoing sent by electronic/interdepartmental/
regular mail this 24th day of April, 2024, to:

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Tom Salow, Assistant Director
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